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Practicum 2: Executive Compensation, Margiotta & Miller 2000

Recover hidden parameters, decompose the cost of moral hazard, and run counterfactuals in a static Margiotta and Miller (2000) adaptation.

Overview Data Code Models Discussion Leaderboard Rules

Overview

Background

Executive compensation can be understood as a principal–agent problem. Shareholders would like a manager to take actions that increase the value of the firm, but managerial effort cannot be observed directly. Compensation must therefore be tied to observable firm performance in a way that gives the manager an incentive to exert effort. At the same time, because firm performance is uncertain and the manager is risk-averse, performance-based compensation exposes the manager to risk that must be compensated.

This assignment studies a simplified, static adaptation of the principal–agent framework developed in Margiotta and Miller (2000). The exercise retains the paper's central economic mechanism: an optimal compensation contract must balance the benefits of inducing productive but unobserved effort against the costs of exposing a risk-averse manager to uncertain compensation.

Objective

You will use a simulated dataset of firm output and managerial compensation generated from the model. The parameters used to generate the data have been withheld. Your objective is